

13. 9:00 AM CASE NUMBER: MSC21-00646  
CASE NAME: GONZALEZ VS KEADING FAMILY TRUST  
TO DISMISS (CCP 583.310, 583.360)  
FILED BY: NORTH AMERICAN TITLE INSURANCECOMPANY, A FOREIGN CORPORATION  
**\*TENTATIVE RULING:\***

Before the Court is a Code of Civil Procedure section 583.310 et seq. motion to dismiss for failure to bring this matter to trial within five years ("Motion"), filed by defendant North American Title Company ("NAT"). Joinders have been filed by defendants Hilja Keading (individually and as trustee of the Keading Family Trust), NRT West dba Coldwell Banker, and Margaret M. Lin. The joinders are approved.

For the reasons discussed below, the Court **GRANTS** North American Title Company's motion to dismiss and the joinders therein by the other defendants.

**Legal Standard for CCP § 583.310 Motion to Dismiss**

"An action shall be brought to trial within five years after the action is commenced against the defendant." (Code Civ. Proc., § 583.310.) In computing the time within which an action must be brought to trial, certain time periods are excluded, including when: (1) jurisdiction of the court was suspended; (2) prosecution or trial was stayed or enjoined; or (3) bringing the action to trial, for any other reason, was impossible, impracticable, or futile. (Code Civ. Proc. § 583.340.)

"Because the purpose of the dismissal statute is to prevent avoidable delay, section 583.340, subdivision (c) makes allowance for circumstances beyond the plaintiff's control, in which moving the case to trial is impracticable for all practical purposes." (*Seto v. Szeto* (2022) 86 Cal.App.5th 76, 85, citations omitted.) In determining whether tolling exceptions apply under subdivision (c), the "trial court must consider all the circumstances of the individual case, including the acts and conduct of the parties and the nature of the proceedings themselves." (*Id.* at 86, citation omitted.) The "trial court has discretion to determine whether that exception applies...." (*Bruns v. E-Commerce Exchange, Inc.* (2011) 51 Cal.4th 717, 731.)

The appropriate analysis focuses "on the 'justifiability' of the plaintiff's reason for not bringing the case to trial, rather than on the defendant's complicity in the delay." (*Brunzell Constr. Co. v. Wagner* (1970) 2 Cal.3d 545, 555; see also *Tejada v. Blas* (1987) 196 Cal.App.3d 1335, 1339-1340 [a critical factor in applying tolling exceptions to a given factual situation is whether the plaintiff exercised 'reasonable diligence' in prosecuting his or her case]; *Westinghouse Elec. Corp. v. Superior Court* (1983) 143 Cal.App.3d 95, 99 ["had plaintiff been the dilatory party, mere impracticability is not an excuse, since the impracticability arises from plaintiff's own fault"].) The plaintiff bears the burden of proving that the circumstances warrant application of the exception. (*Seto, supra*, 86 Cal.App.5th at 86.)

"Section 538.340 is construed liberally, consistent with the policy favoring trial on the merits." (*Tanguilig v. Neiman Marcus Group, Inc.* (2018) 22 Cal.App.5th 313, 323 citing *Dowling v. Farmers Ins. Exchange* (2012) 208 Cal.App.4th 685, 693.)

## **Background**

Plaintiffs Louie Gonzalez and Francyn Molina (“Plaintiffs”) filed this lawsuit on April 2, 2021, against: (1) the Keading Family Trust [“Trust”]; (2) Trustee Hilja Keading [“Keading”]; (3) NRT West, Inc., doing business as Coldwell Banker [“Coldwell Banker”]; (4) Margaret Lin [“Lin”]; and (5) North American Title Insurance Company [“NAT”] (collectively, “Defendants”). (Second Amended Complaint [“SAC”], pp. 1-3.)

Plaintiffs assert claims for: (1) intentional misrepresentation as to Coldwell Banker, Lin, and Keading; (2) negligent misrepresentation as to Coldwell Banker, Lin, and Keading; (3) breach of contract as to Keading; and (4) breach of insurance agreement as to NAT.

Plaintiffs allege that on April 17, 2019, they made a written offer on residential property located at 60 Laurel Lane, El Sobrante, California (the “Property”). (SAC, ¶¶ 10, 20.) On that date, extensive and ongoing litigation involving the Property had been pending for over three years that involved Keading’s brother Kenton Keading, who had various claims against the Property and was a beneficiary of the Keading Family Trust. (*Id.* at ¶¶ 17, 20, the “Litigation”.) Kenton Keading had been declared a vexatious litigant and Keading had gotten a restraining order preventing him from interfering with the Property. (*Ibid.*) The litigation was quite active and as of the close of escrow, not less than four appeals had been made by him asserting various interests in the Property and claims against the ownership and occupancy of the Property. (*Id.* at ¶ 17.) A filing was even made the day before Plaintiff made their written offer. (*Id.* at ¶ 20.) Despite this, Coldwell Banker, Lin, and Keading made a disclosure regarding the Property that the listing agent was informed that Keading’s brother was evicted from the Property prior to the listing of it for sale and that Keading is the sole appointed trustee for the sale of the Property and that there were no past, present, pending, or threatened lawsuits, mediations, settlements, etc., or other court filings or governmental hearings affecting or relating to the Property. (*Id.* at ¶ 18.) Prior to the close of escrow, Kenton Keading has a lis pendens recorded in Contra Costa County asserting claims to the title to the Property. (*Id.* at ¶ 21.) Coldwell Banker, Lin, and Keading knew all this yet failed to disclose the Litigation and even made direct statements that there were no such issues. The claim of negligent misrepresentation against Coldwell Banker, Lin, and Keading is based on the same facts. (*Id.* at ¶¶ 34, 35.) The breach of contract against Keading is based on contractual duties to disclose what she allegedly did not disclose. (*Id.* at ¶¶ 36-44.) The breach of insurance agreement claim against NAT is based on NAT’s alleged failure to indemnify Plaintiffs from losses attributable to a defect in title. (*Id.* at ¶¶ 45-52.)

Plaintiffs seek damages in excess of \$1,000,000, interest, attorney fees, costs, and exemplary and punitive damages. (SAC, p. 14.)

## **Discussion**

### **Code of Civil Procedure sections 583.310 and 583.340 (The Five-Year Rule)**

#### ***Defendant’s Position***

NAT argues in their moving papers that dismissal with prejudice is mandatory for failure to bring a case to trial within five years and that Plaintiffs commenced this action on April 2, 2021, and because it has not been brought to trial by April 2, 2026, it must be dismissed. (Motion MPA, p. 3.) NAT

argues that none of the limited exceptions apply to this matter and the parties have not agreed to any extension of the mandatory five-year deadline. (*Ibid.*) NAT points out that the trial court's jurisdiction was never suspended and the case was never stayed or enjoined. (*Ibid.*) NAT points out that in order to claim impossibility, impracticability, or futility to avoid the five-year deadline to bring an action to trial, the plaintiff must have acted with reasonable diligence in prosecuting the action and that the reasonable diligence is an indivisible part of the overall inquiry into whether a given circumstance made it so unreasonably difficult for plaintiff to bring an action to trial that the time period involved should be excluded from calculation of the five-year period. (*Id.* at p. 4.)

#### *Plaintiff's Position*

Plaintiffs argue that the five-year period was tolled under Code of Civil Procedure section 583.340, subdivision (c) from at least December 12, 2025, through April 17, 2026, due to the incapacitating illness of plaintiff. (Opposition, pp. 6-11.) Plaintiff Francyn Molina was hospitalized December 12, 2025, and was in hospitals or skilled nursing facilities until January 23, 2026. (Gonzalez Decl. ISO Opposition, ¶¶ 4-6.) However, she was unable to meaningfully participate in the Litigation until mid-April. (Webb Decl. ISO Opposition, ¶ 29.) Plaintiff argues that under Code of Civil Procedure section 583.350, that because the tolling lasted until less than six months remained of the five-year rule, they get an additional six months, which pushes the deadline until October 17, 2026. (*Id.* at p. 11.)

Plaintiffs argue that alternatively, Defendants conduct supports estoppel and waiver. (*Id.* at p. 12.) Plaintiffs cite *Tejada v. Blas* (1987) 196 Cal.App.3d 1335, 1341, as holding that estoppel applies where "statements or conduct ... lull[ ] the plaintiff into a false sense of security resulting in inaction, and there is reasonable reliance." (*Ibid.*) Plaintiffs argue that Defendants did this by filing case management statements before the January 7, 2026 case management conference that showed discovery was planned to last until June and July of 2026. (Opposition, p. 12.) There were also depositions that Plaintiffs noticed that defendants postponed until dates beyond the 5-year deadline. (*Id.* at p. 13.) For example, Keading proposed her deposition to be the week of April 20, and other defendant depositions were agreed to be calendared for April 22, April 23, and April 24, 2026. (*Ibid.*; Webb Decl. ISO Opposition, ¶ 14.) Plaintiffs ask the Court to deny the Motion and set the matter for trial. (Opposition, p. 15.)

#### *NAT's Reply*

NAT argues that Plaintiffs' failure to exercise reasonable diligence precludes them from claiming impracticability as Plaintiffs made no effort whatsoever to have the matter set for trial prior to the expiration of the five-year statutory period. (Reply, pp. 5-8.) NAT further argues that Ms. Molina's illness was not the cause of the failure to bring the matter to trial within five years because having an illness alone does not establish causation that would make it impracticable by itself and that a delay of a few months is already built into the 5-year deadline. (*Id.* at pp. 8-9.)

NAT argues that the cases Plaintiffs cite are distinguishable. (Reply, pp. 9-10.) In *Tamburina v. Combined Ins. Co. of America* (2007) 147 Cal.App.4th 323, a trial date was set and was continued multiple times by stipulation due to the plaintiff's illness and the final stipulation concerned the attorney's illness. (*Id.* at p. 331.) The court held that the stipulations were an agreement that the trial could not proceed due to the plaintiff's and attorney's health, and thus were sufficient to establish impracticability and causation. (*Id.* at p. 332.) In *Him v. Superior Court* (1986) 184

Cal.App.3d 35, NAT argues that the plaintiff's sole counsel was incapacitated by illness seven weeks prior to the deadline to bring the case to trial and the court ruled that the illness was the direct cause of the failure to timely request a trial date. (Reply, p. 10.)

Finally, NAT argues that Plaintiffs lump all the Defendants together as one in support of the argument that the five-year deadline is extended by waiver or estoppel and that Plaintiffs fail to identify conduct of NAT that could constitute a waiver of the five year deadline or that NAT should be estopped from enforcing it. (Reply, pp. 10, 11.) NAT argues that neither the fact that it did not mention the 5-year deadline in its CMC statement nor objecting to a deposition notice on 5 days' notice amounts to estoppel and cites *Seto v. Szeto* (2022) 86 Cal.App.5th 76, 98, for the rule that "a plaintiff has the duty to call the court's attention to the deadline" and *Jordan v. Superstar Sandcars* (2010) 182 Cal.App.4th 1416, 1423, for the proposition that "[a]ny ambiguity or confusion created by defense counsel mentioning his unavailability beyond the cutoff date could have been clarified by plaintiff's counsel, who was responsible for ensuring the case was tried before the period expired." (Reply, p. 10.)

#### *Impracticability Exception to Five-Year Rule*

Regarding Plaintiff's assertion of impracticability, the Court finds that Ms. Molina's hospitalization for cardiac arrest and unavailability from December 12, 2025 through approximately mid-April 2026 (Webb Decl. ISO Opposition, ¶ 29), does not provide Plaintiffs relief from the five-year rule. "The plaintiff bears the burden of proving that the circumstances warrant application of the ... exception." (*Seto v. Szeto* (2022) 86 Cal.App.5th 76, 86.) Here, missing from the declarations of Mr. Webb, Mr. Gonzalez, Ms. Molina, and Mr. Riddell, is any indication of when Plaintiffs ever told their counsel that Ms. Molina was hospitalized for cardiac arrest and unavailable for trial. The Plaintiffs have the burden of showing impracticability, and without providing any evidence of when Plaintiffs' attorneys even found out about the cardiac arrest, the Court cannot find that they have met their burden. The Webb declaration looks like it should contain this information in either paragraph 5 or 8, but it does not. The declaration of Mr. Gonzalez looks like this information should be included in paragraph 10, but it is not. The declaration of Ms. Molina looks like this information should be included in paragraphs 12 or 13, but it is not. The Riddell declaration looks like this information should be included in paragraph 4, but it is not. There is no credible showing that the described illness had any impact on the conduct of the litigation and the ability to bring it to trial.

Ms. Molina suffered cardiac arrest and went into the hospital on December 12, 2025, and Plaintiffs' CMC statement for the January 7, 2026 case management conference was filed on December 15, 2025, and the CMC statement does not say anything about the hospitalization of Ms. Molina. The "other issues" section only states that Plaintiffs believe depositions need to be taken for a meaningful mediation to take place. Further, there was no filing subsequent to the December 15, 2025 filing that informed the court that one of the plaintiffs had been hospitalized or attempted to extend the trial setting conference due to that. Plaintiffs have produced no documents from prior to NAT's filing of the Motion that show they were aware that Ms. Molina was hospitalized and unavailable and they have also not submitted any evidence that they were aware of her hospitalization and illness prior to the Motion being filed in April.

The analysis above distinguishes this case from *Tamburina v. Combined Ins. Co. of America* (2007) 147 Cal.App.4th 323, which is the only case Plaintiffs cite that involves the illness of a plaintiff resulting in

a tolling of the five-year rule. In that case, there was a single plaintiff suing his employer for “age discrimination and tortious interference with stock option contracts.” (*Id.* at p. 327.) It was not the plaintiffs’ illness alone that justified the Court of Appeal in reversing the trial court on its dismissal, it was the fact that there were *multiple stipulations* entered into with the other party as explained by the court in that matter:

These stipulations involved: (1) a serious, specified and monitored illness involving Tamburina in which medical opinion concluded that he could not attend trial; (2) a repeated and uninterrupted continuance of the trial setting conference and/or the trial date that stretched on for nearly a year based on this illness; and (3) no evidence to dispute them. Given this context of stipulation, it cannot be said that Tamburina took unfair advantage of Combined’s mere professional courtesies. Combined was made well aware of the seriousness, lengthy duration and trial date juxtaposition of Tamburina’s illness (and that of his trial counsel). Combined entered the stipulations with its eyes open; it could have specified, somewhere along this lengthy line, that one or more of the stipulations would not affect the running of the five-year trial deadline.

(*Tamburina v. Combined Ins. Co. of America* (2007) 147 Cal.App.4th 323, 333.)

Here, as stated above, despite Ms. Molina suffering a serious health condition on December 12, 2025, several days before the filing of the CMC statement, and nearly a month before the CMC/Trial Setting Conference was to be held, Plaintiffs’ counsel never advised the other parties or the Court of this illness and incapacity and also did not seek any continuation of the trial setting conference.

It is also worth noting that although Mr. Riddell states that he mis-calendared the January 7, 2026 CMC/Trial Setting Hearing as February 11, 2026 (Riddell Decl. ISO Opposition, ¶ 4), the CMC statement signed and electronically served by Mr. Riddell himself on December 15, 2025, correctly identifies the CMC hearing to be January 7, 2026, and further states that both him and Mr. Webb would appear by telephone. Mr. Riddell states that he found out he missed the CMC/Trial Setting Conference on January 12, 2026, and that he “then took the following steps: I now schedule court events in three separate calendars. . .” (*Id.* at ¶ 5.) In other words, he did nothing to rectify the issue of him missing the CMC/Trial Setting Conference. He further states that “[t]he missed appearance did not interrupt plaintiffs’ prosecution of this case,” because he and co-counsel served eight deposition notices. (*Id.* at ¶ 6.)

Despite learning, by his own admission, that counsel had missed the CMC and trial setting “on or around January 12, 2026,” counsel failed to immediately seek relief and a trial setting before the five-year deadline. Counsel could, and should, have presented an ex parte application to raise the issue of getting a trial date set before April 2, 2026. That did not happen. In fact, the docket reflects no action, no filings of any kind, by Plaintiffs before the present motion was filed by the other side several days after the deadline passed, on April 6, 2026.

Notably, the parties were ordered at the September 24, 2025 case management conference to “meet and confer re: trial dates in 2026.” Here, there has been no evidence presented to the Court that this was done. Plaintiffs’ counsel have not submitted any correspondence from them to any defendants

about any proposed trial dates in 2026. This goes towards diligence. “Reasonable diligence places on a plaintiff the affirmative duty to make every reasonable effort to bring a case to trial within five years, even during the last month of its statutory life.” (*Jordan v. Superstar Sandcars* (2010) 182 Cal.App.4th 1416, 1420.)

It is unclear how an illness of a party that their counsel is not aware of would result in the tolling of the five-year rule. “Since the judicial construction of the 'impossible, impracticable or futile' exception to section 583, the courts have applied it on a case-by-case basis to prevent patently unjust consequences where the failure to comply with the statute **is not attributable to fault on the part of the plaintiff or his counsel.**” (*Ferk v. County of Lake* (1988) 205 Cal.App.3d 268, 277, emphasis added.) Here, it appears to this Court that the failure to comply with the five-year rule is attributable to Plaintiffs’ counsel, not Ms. Molina’s hospitalization.

#### *Estoppel and Waiver*

NAT correctly points out that waiver of the five-year rule involves a defendant going to trial without raising the issue. (*Southern Pacific Co. v. Seaboard Mills* (1962) 207 Cal.App.2d 97, 104 [“Obviously, a defendant waives objection to antecedent delay by going to trial without moving to dismiss.”]; *Butler v. Hathcoat* (1983) 146 Cal.App.3d 834, 839 [“Obviously, a defendant waives objection to antecedent delay by going to trial without moving to dismiss. [Citation.] The mandatory five-year provision of Code of Civil Procedure, section 583, applying prior to trial can have no application.”].)

Regarding estoppel, Plaintiffs cite *Tejada v. Blas* (1987) 196 Cal.App.3d 1335, 1341, as holding that estoppel applies where “statements or conduct ... lull[ ] the plaintiff into a false sense of security resulting in inaction, and there is reasonable reliance.” (*Ibid.*) Plaintiffs argue that Defendants did this by filing case management statements before the January 7, 2026 case management conference that showed discovery was planned to last until June and July of 2026. (Opposition, p. 12.) There were also depositions that Plaintiffs noticed that defendants postponed until dates beyond the 5-year deadline. (*Id.* at p. 13.) Plaintiffs argue this has particular force where defendant moved proceedings past the deadline. (*Ibid.*)

The Court finds the conduct here insufficient to invoke estoppel. In *Woley v. Turkus* (1958) 51 Cal.2d 402, cited by Plaintiffs as support, estoppel was based on the circumstances below:

On December 9, 1955, the plaintiff filed a memorandum to set and a notice of motion to advance the cause for trial. The supporting affidavit pointed out that the cause of action would be barred by section 583 unless the trial was commenced before December 28, 1955, which would be the expiration of the five-year period. At the hearing on the motion to advance the cause for trial the defendant requested a continuance on the ground that nothing had been done in the case for almost five years and that the 12 days’ notice was inadequate for trial preparation. The request was made with the representation by the defendant in open court that the plaintiff was not to be prejudiced by such a continuance.

(*Woley v. Turkus* (1958) 51 Cal.2d 402, 404.)

When the defendant in *Woley* eventually filed a motion to dismiss, his representation in open court estopped him from seeking dismissal. (*Id.* at p. 409.) The facts here are more similar to *Jordan v. Superstar Sandcars* (2010) 182 Cal.App.4th 1416, where the plaintiffs argued that the defendants were “estopped from relying on the five-year dismissal statute, section 583.310, because counsel for defendants submitted a declaration stating he was not available for trial until after September 2008, leading plaintiffs to believe defendants did not object to trying the case after the five-year trial deadline of June 6, 2008.” (*Id.* at p. 1422.) The court “rejected the doctrine of equitable estoppel since plaintiffs were aware the five-year trial period ran on June 6, 2008, and it was not reasonable to assume defendants were willing to waive the deadline.” (*Id.* at p. 1423.) “Any ambiguity or confusion created by defense counsel mentioning his unavailability beyond the cutoff date could have been clarified by plaintiffs’ counsel, who was responsible for ensuring the case was tried before the five-year period expired. Plaintiffs have shown no conduct on the part of defendants that would have lulled plaintiffs into a reasonable false sense of security.” (*Ibid.*) Here, similarly, representations of defendants regarding discovery timelines or deposition dates should have triggered Plaintiffs’ counsel to clarify or seek a stipulation to try the case beyond the five-year mark if the defendants expressed a desire to perform something beyond the five-year deadline.

#### **Ruling**

Based on the analysis above, the Court **GRANTS** North American Title Company’s Motion to Dismiss and the joinders therein. Moving party to prepare the order after hearing. One consolidated order shall be prepared for the lead motion and the joinders.

**14. 9:00 AM CASE NUMBER: MSC21-00646**  
**CASE NAME: GONZALEZ VS KEADING FAMILY TRUST**  
**JOINDER IN DEFENDANT NORTH AMERICAN TITLE INSURANCE COMPANY'S MOTION TO DISMISS**  
**FILED BY: KEADING, HILJA**  
**\*TENTATIVE RULING:\***

See LINE 13, above.

**15. 9:00 AM CASE NUMBER: MSC21-00646**  
**CASE NAME: GONZALEZ VS KEADING FAMILY TRUST**  
**JOINDER TO NORTH AMERICAN TITLE INSURANCE COMPANY'S MOTION TO DISMISS**  
**FILED BY: NRT WEST, INC.**  
**\*TENTATIVE RULING:\***

See LINE 13, above.